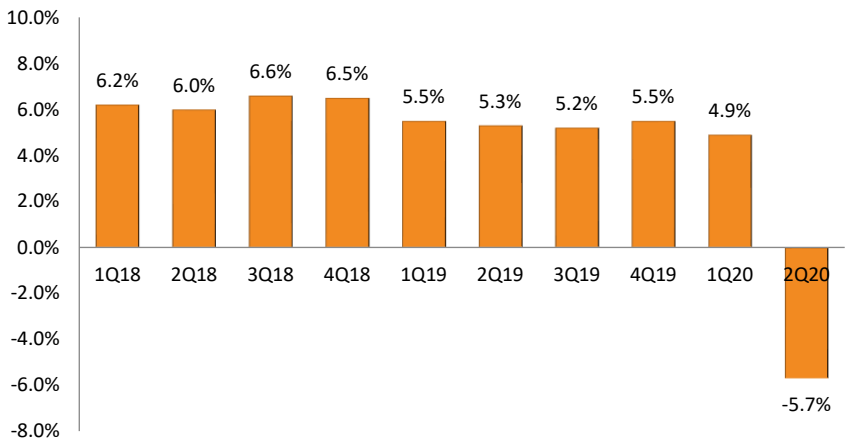


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Subdued GDP Growth

The effects of the prevailing pandemic saw a slowdown in economic activities with a shutdown in the some sectors such as tourism and hospitality and the education sector, while seeing a slowdown in manufacturing, transport and trade. In effect, growth in 2Q20 remained subdued contracting 5.7% in comparison to a 5.3% growth in 2Q19. While containment measures saw a shutdown in some of the sectors, growth remained stable in Agriculture, Forestry and Fishing activities (6.4%), Financial and Insurance activities (4.2%), Construction (3.9%), Health Services (10.3%), Public Administration (5.7%), Real Estate Activities (2.2%) and Mining and Quarrying activities (10.0%).

Graph 1. GDP Growth



Source: KNBS

Key Highlights

- Growth contracts due to a slowdown in economic activity
- Outlook: Drivers of growth in 2H20
- Subdued inflationary pressure
- CBK to maintain its accommodative monetary policy

October 16, 2020

Sovereign Credit Rating:

Moody's: B2 (negative)

Fitch: B+ (negative)

S&P: B+ (negative)

GDP Growth (2Q20): -5.7%

September Inflation: 4.20%

Interbank rate (16th October 2020): 2.46%

C.B.R (29th September 20): 7.00%

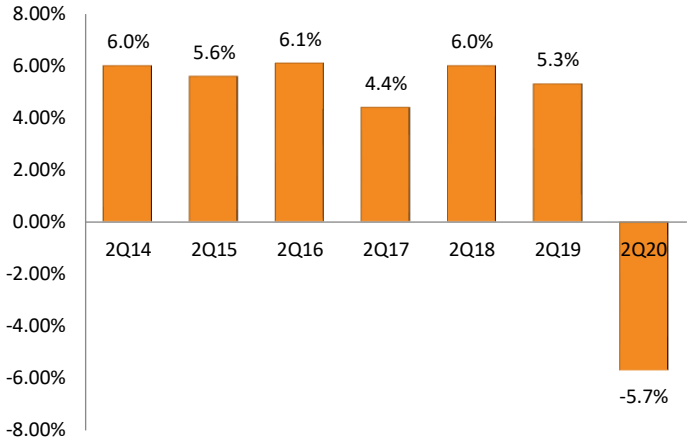
CPI: (2019=100): 108.57

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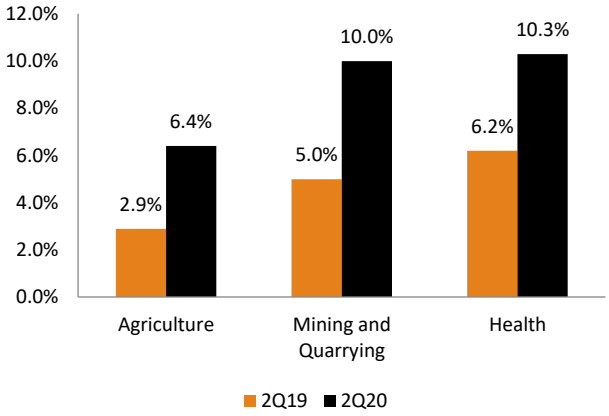
2Q20 Performance

➢ Economic growth contracts: Economic growth declined to -5.7% versus a growth of 5.6% in the corresponding period of 2019. The contraction is attributed to the measures taken in a bid to contain the spread of the virus. The Agricultural, Mining and Quarrying, and health sectors were the only sectors that recorded an increase in growth

Graph 2: GDP Growth



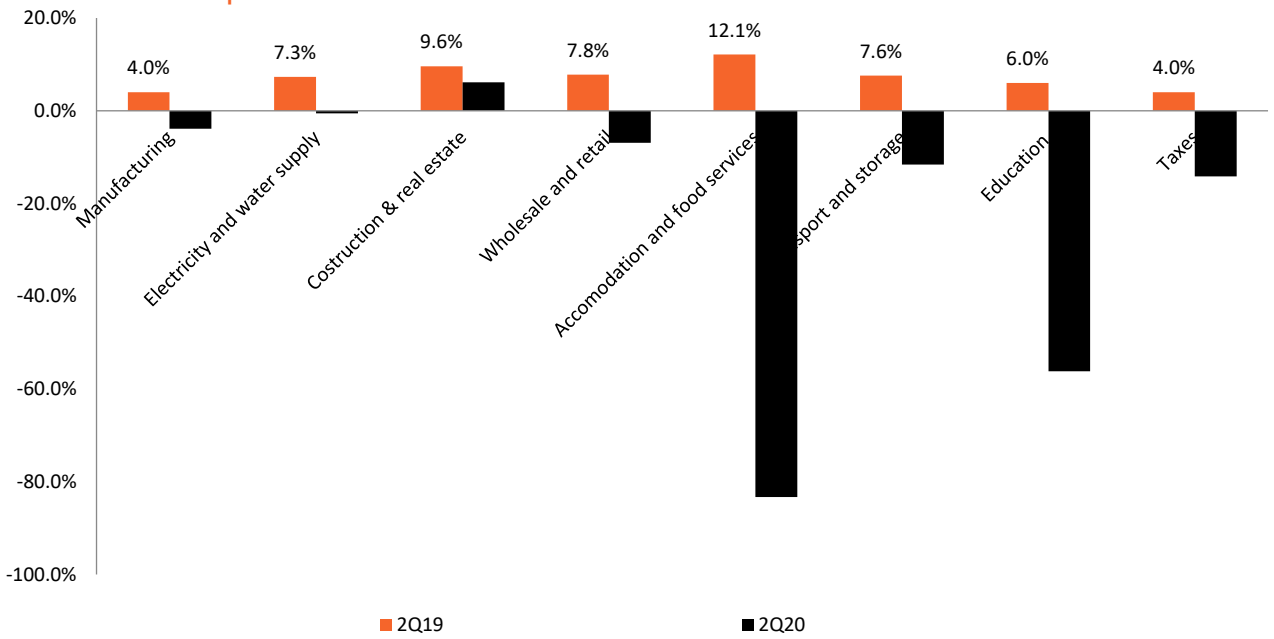
Graph 3: GDP Growth Comparison



Source: KNBS

➢Negatively affected sectors: The poor performance in the quarter was characterized by substantial contractions in Accommodation and Food Services, Education, Taxes on products, and Transportation and Storage.

Graph 4: Sector Growth



Source: KNBS

2H20 Outlook

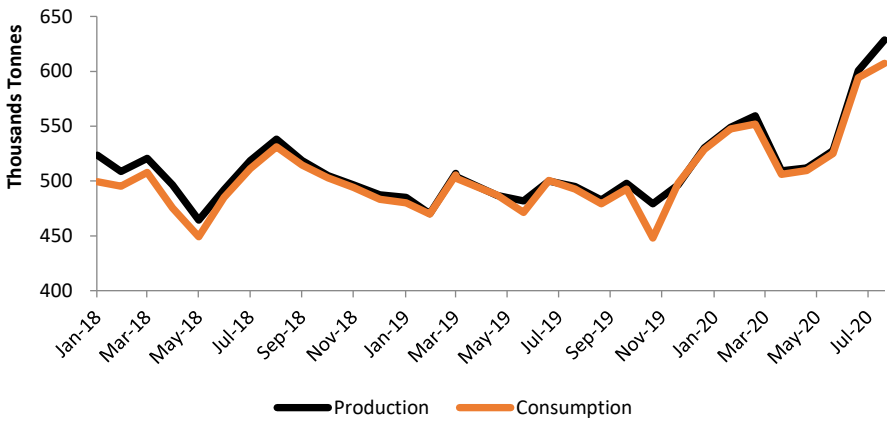
➢ Increased economic activity: We expect a pick-up in economic growth due to increased activity following the gradual re-opening of the economy. The following sectors are likely to do well:

- **Agriculture:** In 2H20, growth in the sector is likely to be higher than the 3.6% growth recorded in 2H19. The growth will however, be lower than 1H20 as rainfall in several parts of the country is expected to be depressed.

- **Manufacturing:** Activity is expected to increase due to the opening up of the economy. Furthermore, good performance of the Agricultural sector is likely to support agro-processing activity, which is a major driver of the manufacturing sector's growth.

- **Construction:** Cement production and consumption began to increase in December 2019 and continued on an upward trend despite the lockdown measures that were in place in 1H20. We therefore expect stronger activity in 2H20, as government and individuals resume their construction activities.

Graph 5. Cement Production and Consumption



Source: KNBS

- **Wholesale & Retail Trade:** Increased movement and the lifting of curfews is likely to support growth of this sector.

- **Information and communication:** This sector is expected to benefit as people continue to work remotely and limit their movement.

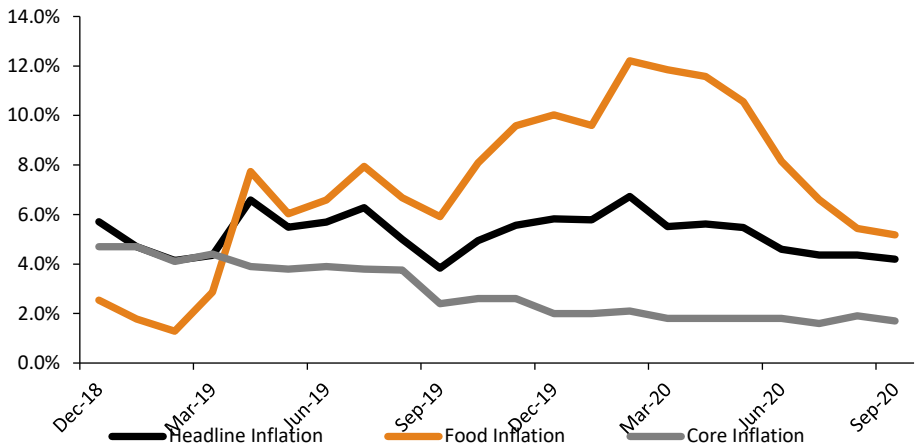
Overall, 2Q20 is likely to be the quarter with the lowest growth and ierefore maintain

	2020 GDP Growth Estimate
Best case	2.6%
Base case	2.1%
Worst case	1.0%

Inflation Outlook

➢ Subdued inflationary pressures: In the first three quarters of 2020, inflation has remained muted as due to low food, fuel and core inflation.

Graph 6: Inflation

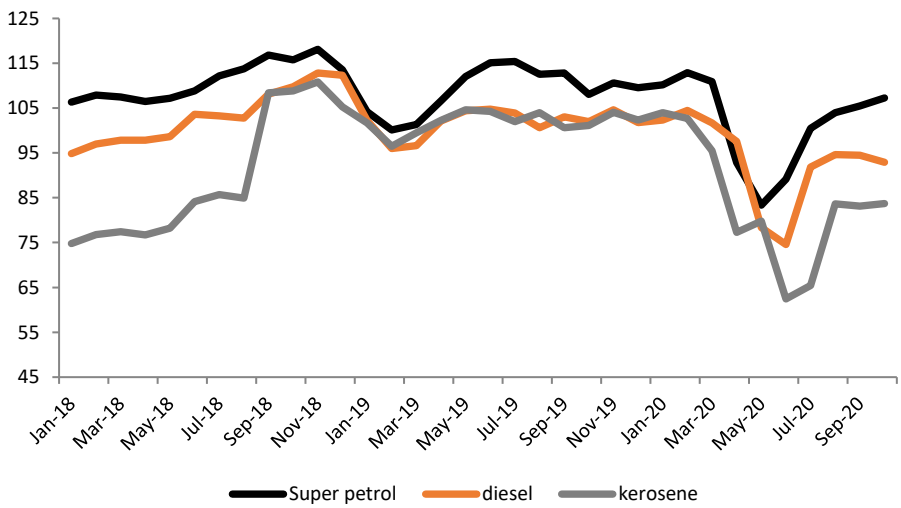


Source: KNBS

In 4Q20, headline inflation is expected to remain below 6%. Food prices are likely to be low due to the sufficient supply occasioned by the favourable rainfall received during the long rains season. However, prices could begin to rise in December as food supply decreases on the back of depressed rainfall in several parts of the country during the short rain season.

Meanwhile, global fuel prices should remain depressed as the market remains oversupplied. Unfortunately, local pump prices remain relatively high due to the increased taxes on the product.

Graph 7: Fuel Prices

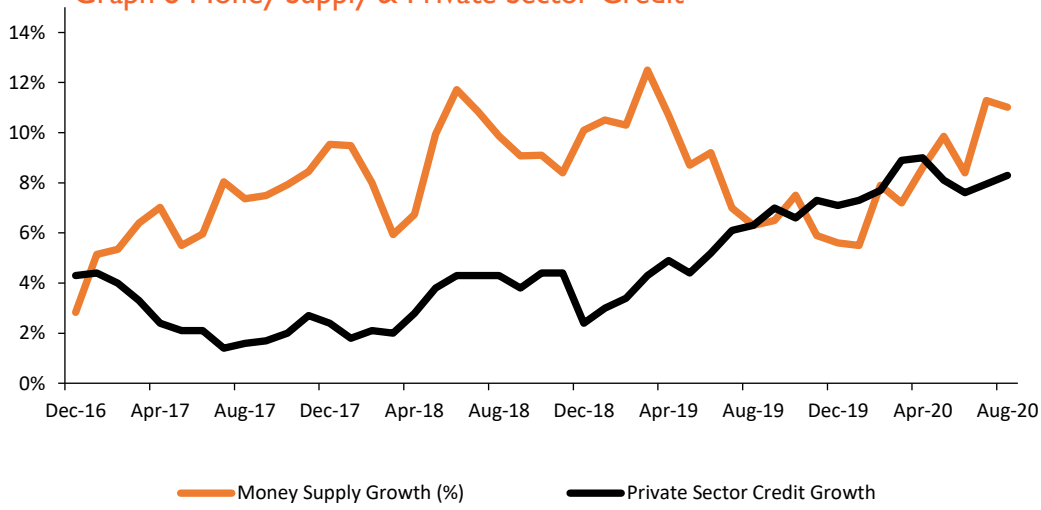


Source: KNBS

Interest Rates Outlook

- Accommodative Monetary policy: In a bid to support economic growth, CBK has cut the Central Bank Rate (CBR) three times this year (January, March, and April) and reduced the cash reserve ratio. Although the economy contracted in 2Q20, we believe that the monetary policy measures that are currently in place are enough to support economic growth. This can be seen by the growth in private sector credit. Therefore, we expect CBK to leave the CBR unchanged in its next policy meeting,.

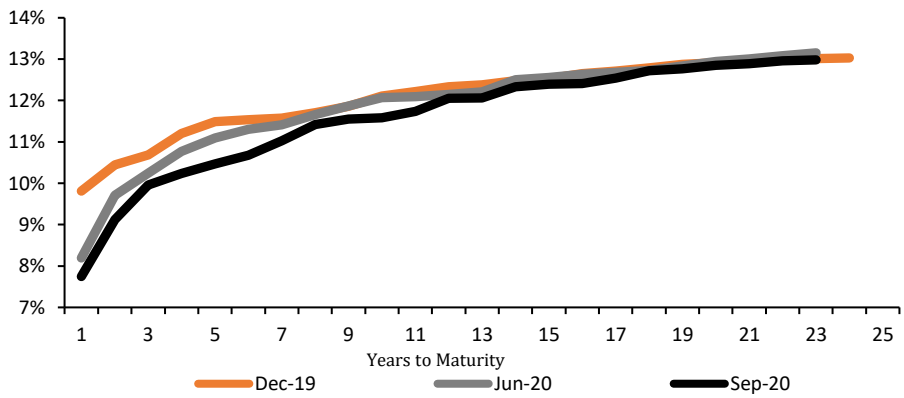
Graph 8 Money Supply & Private Sector Credit



Source: KNBS

- Downward pressure on rates: Elevated levels of liquidity during the first three quarters of 2020 have exerted downward pressure on interest rates. In 4Q20, we expect interest rates to remain unchanged with a downward bias on the short end due to the high demand for short-term bonds.

Graph 9: Yield Curve



Source: KNBS

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